

# Olevel Economics!

## Basic Economics

Topic :- Production  
Possibility  
curve



By:-

Zarak Mushtaq

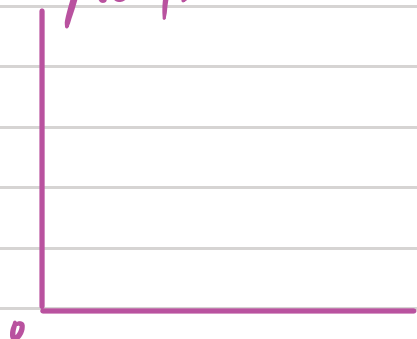
**Production Possibility curve** :- It shows combinations of outputs that an economy can produce with its given resources!

↓  
Fixed resources

↓  
2 goods  
good Y    good X  
15 units    20 units

↓  
potential vs  
Actual  
[Tissue Box vs 2M]

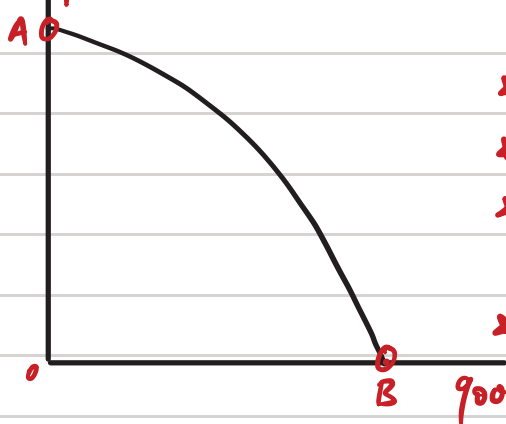
good Y (Qty)



How to make the shape of PPC?

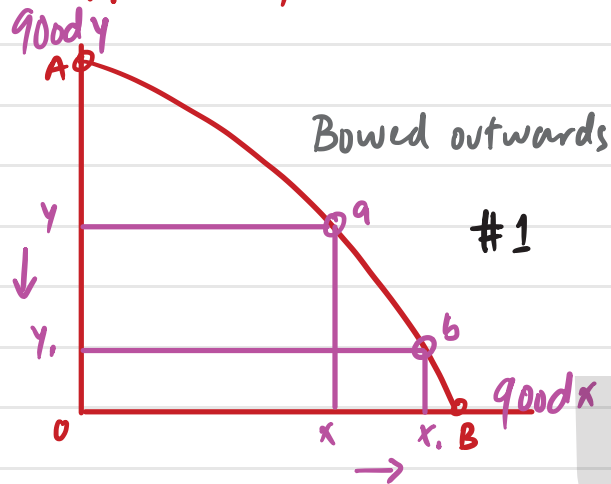
\* An economy producing 2 goods, dividing its resources equally will be able to produce a combination. If reallocation is required, factors of production will be immobile (not flexible to switch), thus there will be existence of increasing opportunity cost as for some output of good X, more of good Y will be forgone

good Y

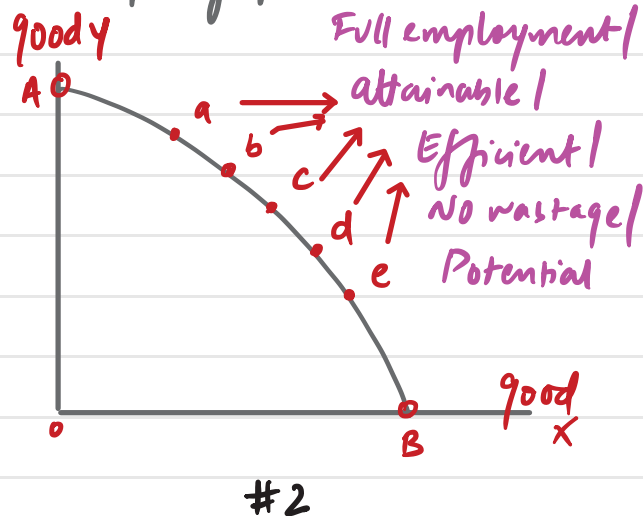


- \* Point 'A' and 'B' represents maximum quantities of both goods that can be produced, using all its resources i.e. potential
- \* The curve is Bowed outwards
- \* It represents increasing opportunity cost
- \* A point will be achieved when entire resources are allocated to good Y with zero units of good X.
- \* B point represents maximum quantities of good X with zero units of good Y.

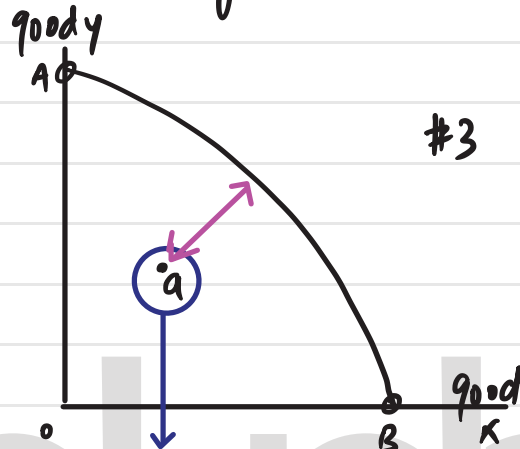
## Concept of increasing opportunity cost



## Concept of potential



## Concept of Actual

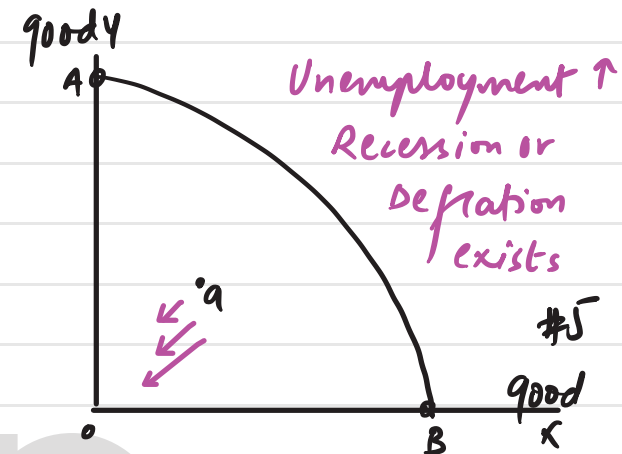


Actual / inefficient / wastage / Recession / Deflation / Unemployment of resources

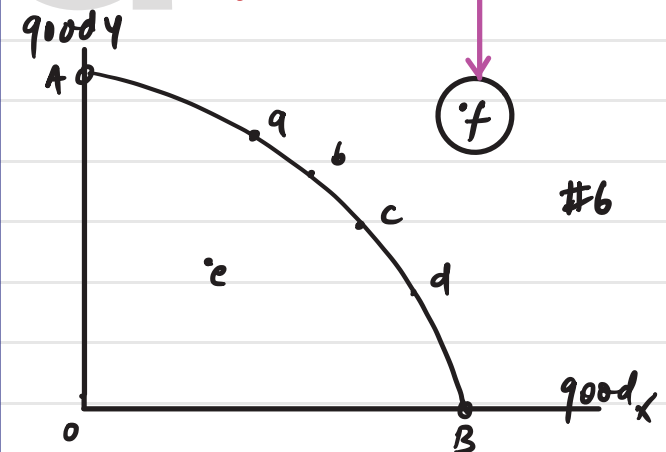
## Actual increases



## Actual decreases



## Concept of unattainable



Unattainable point represents that current resources can't achieve that combination!

## How to explain the diagram!

Diagram #1, shows the concept of increasing opportunity cost, that is with every increase in output of good X, more of good Y has to be forgone, this is because of immobile resources, in other words, resources are best suited for good Y.

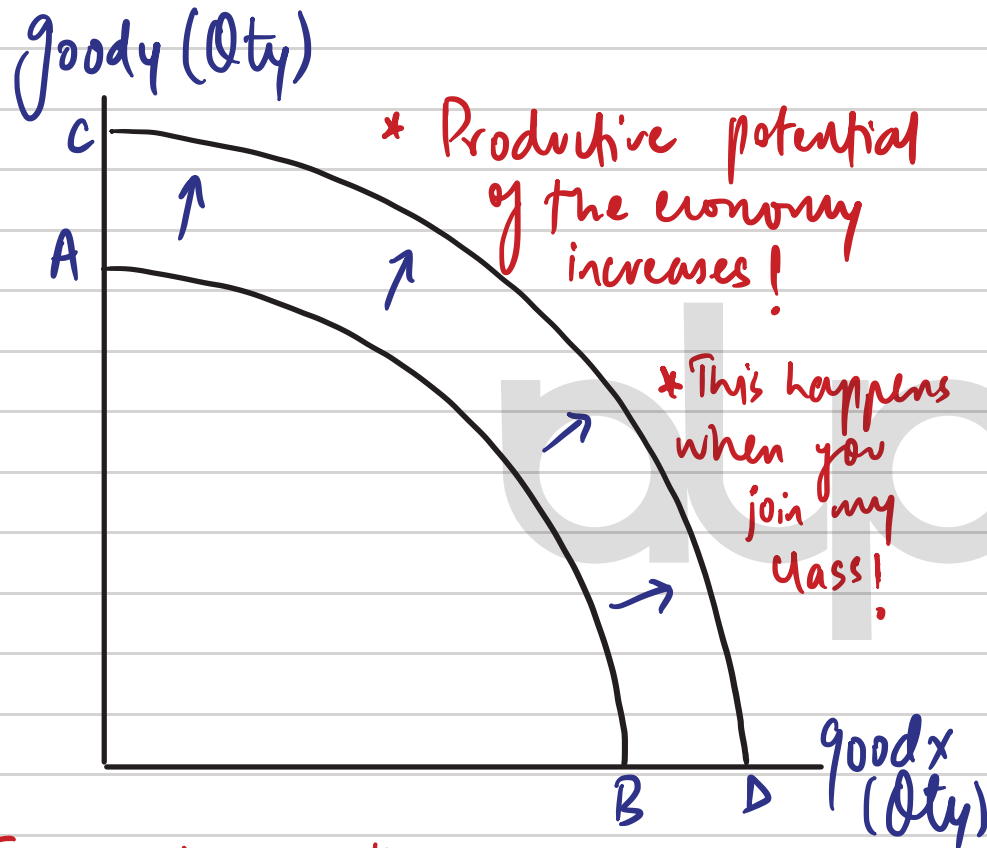
Diagram #2 #3 #6 :- All the points on the curve represents efficient allocation of resources, that is the potential of an economy, so if operating on the curve, it represents an economy being productively efficient.

Whereas it is hard to believe that an economy reaches its potential, most economy's operate inside the curve, representing it as actual, that is current allocation of resources. Importantly it is less than potential, thus known as underallocation or inefficient allocation of resources, also known as unemployment of resources.

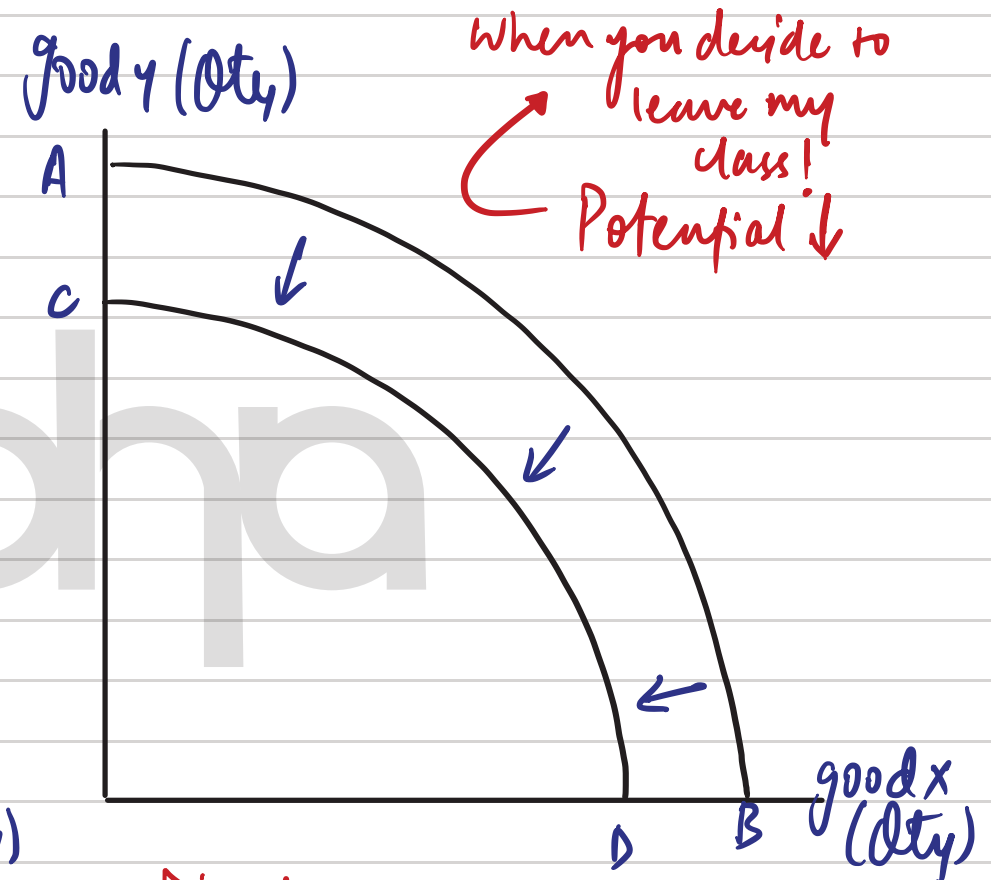
While point outside the curve is scarcity, that is unattainable combination with given resources, currently the economy doesn't possess the resources to produce that combination of output. It can import from a country which can or wait till its potential increase.

Diagram #4 #5 :- Impact of rise in actual represents growth, that is better allocation of resources, representing a rise in income, output and employment. The point inside the curve is moving closer to potential. If it's the other way round, The economy is in recession, that is rise in unemployment!

## Shifts in Production possibility curve

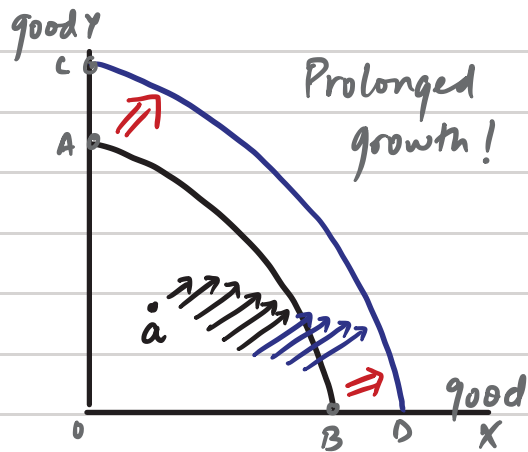


- Economic growth
- Technological Advancement
- Discovery of natural resources
- Immigration



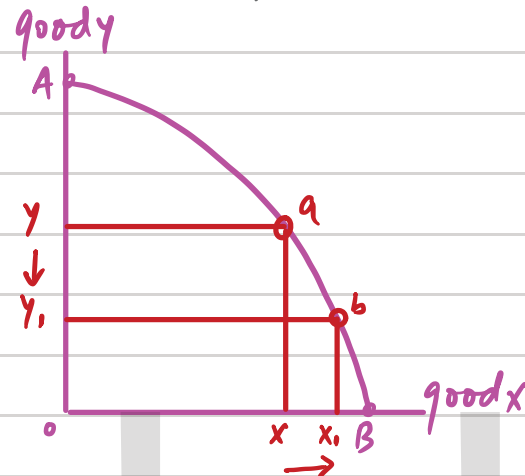
- Disaster
- Earthquake
- Emigration

Actual and potential  
both increases



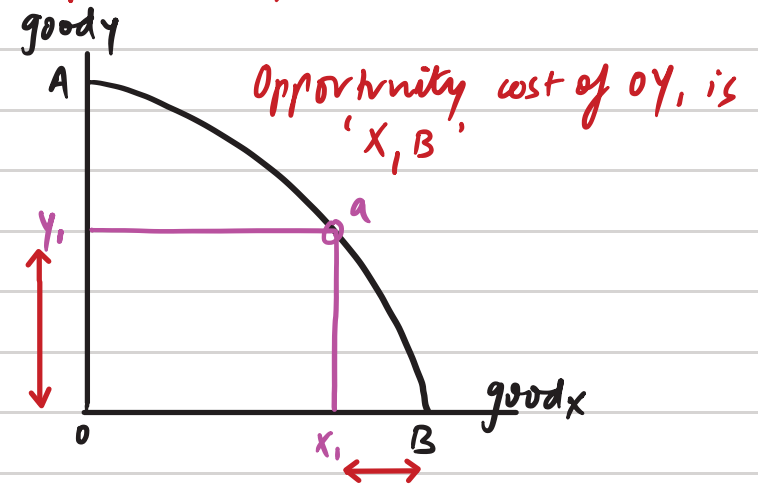
Best possible case for  
any economy where  
its actual and potential  
are both increasing,  
representing as prolonged  
growth.

Opportunity cost



Opportunity cost of  $X-x_1$  is  $Y-y_1$

Opportunity cost



Questions :-

Marks:- 32

- Q1 Define production possibility curve? (2)
- Q2 Using a diagram, explain the concept of increasing opportunity cost? (6)
- Q3 Using a diagram, explain the concept of potential, actual and unattainable? (6)
- Q4 Using a diagram, explain the impact on an economy if actual increases? (6)
- Q5 Using a diagram, explain the impact on an economy if actual decreases? (6)
- Q6 Using diagrams, explain the impact of shifts in production possibility curve? (6)